

UNITED STATES INTERNATIONAL TRADE COMMISSION
Washington, D.C.

In the Matter of
CERTAIN TRANSFORMERS AND
COMPONENTS THEREOF

Investigation No. 337-TA-____

Docket No. 3925

COMPLAINANT’S REPLY STATEMENT
ON THE PUBLIC INTEREST

Complainant Ayr Energy, Inc. (“Ayr”) submits this reply to the public interest comments submitted by Proposed Respondents Zetwerk Manufacturing Businesses Private Limited; Zetwerk Manufacturing USA Inc.; KRYFS Power Components Ltd.; and Unimacts Global, LLC (collectively, “Zetwerk” or “Respondents”).

Zetwerk’s submission asks the Commission to delegate the public interest to the ALJ. It makes passing reference to non-institution, but nowhere identifies any defect in the Complaint under Commission Rule 210.12—nor could it. Institution is proper. The only question Zetwerk’s submission raises for the Commission is whether Zetwerk has presented substantial, credible public interest concerns, supported by evidence, that warrant delegation.

Zetwerk’s submission fails to present such a substantial and credible showing. Zetwerk identifies no declaration, no sales figures, no delivered-unit count, no identified customer, no contract, and not a single concrete project. That omission is not an oversight. Zetwerk’s U.S. order book, backlog, and transformer revenue are uniquely within its possession, and if those figures showed Zetwerk supplies any meaningful share of U.S. transformer demand, Zetwerk would have put them before the Commission. Zetwerk did not do so because it cannot: it began seriously offering custom Main Power Transformers (“MPTs”) in the United States only in early 2025. Whatever public interest considerations exist can be addressed, as they ordinarily are, at the remedy phase of the investigation.

I. Zetwerk Identifies No Significant Public Health or Welfare Issues Warranting Delegation

Zetwerk contends that exclusion would undermine data-center expansion and national energy policy. Zetwerk PI Statement at 2–3. But Zetwerk selectively quotes the authorities it invokes. The declared National Energy Emergency and the April 2026 Presidential Determination are directed at *expanding domestic capacity* to “design, produce, and deploy large-scale grid infrastructure, including transformers”—not at preserving any particular importer’s access to the U.S. market. Excluding imports from a company mentioned nowhere in the authorities does not violate that policy. If anything, it is consistent with the policy because doing so excludes bad actors in favor of those who are not unfairly competing.

Zetwerk’s effort to place itself within the confines of the policy fares no better. To support its spin, Zetwerk clings to “faster lead times,” “vertically integrated” delivery capability, and a deployment track record that serves as the basis for the underlying complaint. Zetwerk PI Statement at 2. The public interest statement cannot convert accused false advertising into presumed fact.

Zetwerk overlooks that as part of its advertising claims it promotes that its products are cULus Listed even though they are not. Compl. ¶¶ 87–97; Ayr PI Statement at 2. This issue bears directly on worker safety as well as grid reliability, so excluding Zetwerk’s accused products actually promotes health, safety, and public welfare. This factor does not support delegating the public interest inquiry to the ALJ.

II. Zetwerk’s Volume Can Be Replaced

Zetwerk argues that because each MPT is custom-engineered, there is “no inventory” of like articles to absorb excluded volume. Zetwerk PI Statement at 3. The argument misunderstands the inquiry. The question is not whether identical units sit in inventory—no custom product would

ever satisfy that test—but whether the market can supply like or directly competitive articles within a commercially reasonable time. It can. As set forth in Ayr’s Public Interest Statement (at 2–3), the U.S. MPT market is served by more than ten established manufacturers with domestic production capacity—from Hitachi Energy to Niagara Power Transformer—none of which is affected by the requested orders, as well as by Ayr’s own expanding U.S. operations.¹ Zetwerk does not dispute the existence or capability of any of these suppliers. *See Certain Smart Wearable Devices*, Inv. No. 337-TA-1398, Comm’n Op. at , 19 (Sept. 5, 2025) (no public interest bar where nothing unique about accused products could not be replicated by market alternatives).

The scale of any displacement would in any event be minimal. Zetwerk provides no data of its own to quantify the volume it alleges needs to be replaced, so the small volumes identified in the complaint are to date uncontested. *See* Compl. ¶¶ 37, 150, 208; Compl. Ex. 3 (Ramakrushnan Decl.) ¶ 48. By comparison, Ayr alone has received orders for far greater volumes. Compl. ¶ 204; Compl. Ex. 1 (Reddy Decl.) ¶¶ 53–54. To the extent Zetwerk’s statement gestures toward Unimacts’s advertised “\$1B+ in U.S. sales,” Zetwerk never ties that sales volume to actual exclusion scope. Where the accused volume is a small fraction of a market that is otherwise unaffected, exclusion does not meaningfully impact competitive conditions. *Cf. Certain Table Saws*, Inv. No. 337-TA-965, Comm’n Op. at 10 (Feb. 1, 2017).

Zetwerk’s assertion that Unimacts employs “roughly 200–250 U.S. workers” at Nevada facilities changes nothing because Zetwerk fails to take the additional step of articulating how

¹ Zetwerk relies on decades-old precedent that has nothing to do with institution. *Certain Automatic Crankpin Grinders*, Inv. No. 337-TA-60, USITC Pub. 1022 (Dec. 1979); *Certain Inclined-Field Acceleration Tubes*, Inv. No. 337-TA-67, USITC Pub. 1119 (Dec. 1980). Moreover, in those cases there was legitimate concern for supply shortages, such as for Ford who made a third party submission. Here, no third parties have stepped in and more than ten unaffected suppliers stand ready to fill any displaced order. In any event, any potential shortages can be addressed at the remedy phase.

many, if any, of these workers would actually be affected. Zetwerk’s business covers more than transformers and what is accused in the complaint, and a vague reference to workers in Nevada does not result in the need to delegate.

III. The Requested Orders Would Not Adversely Affect U.S. Consumers

Zetwerk’s predictions of stranded projects, shortages, and price increases are speculation layered on silence. Zetwerk warns of “100–300 MW” projects stranded by mid-stream disruption, yet identifies *not one* committed project, contract, customer, or delivery date—information uniquely within its possession and easily supplied if it existed. And Zetwerk’s headline statistic—that almost 40% of U.S. data-center projects “risk” falling behind schedule—comes from an article that never mentions Zetwerk, and whose own data show on-time and accelerated start-ups exceeding delays. Industry-wide conditions that exist wholly apart from Zetwerk cannot establish that Zetwerk’s accused products are important, much less necessary to U.S. consumers.

Even if Zetwerk had identified a committed project—and it has identified none—such concerns would not warrant delegation, because the Commission addresses them in the ordinary course when fashioning relief. The Commission routinely tailors its remedial orders to mitigate public interest concerns, including through certification provisions, exemptions for existing contractual commitments, and adjustments to the timing and scope of relief. Zetwerk’s concerns are also premature on its own timeline: no remedial order could issue until the investigation concludes, well over a year from institution, while Zetwerk touts lead times that would see currently contracted units delivered long before any order takes effect. The remedy phase—not pre-institution delegation—is where any substantiated concern belongs.

Finally, even crediting Zetwerk’s speculation that exclusion could marginally raise prices, higher prices for like products are not a basis for withholding relief. *Certain Two-Way Radio Equipment and Systems, Related Software and Components Thereof*, Inv. No. 337-TA-1053,

Comm’n Op. at 44 (Dec. 18, 2018); *Certain Polycrystalline Diamond Compacts and Articles Containing Same* (Remand), Inv. No. 337-TA-1236, Comm’n Op. at 34 (Dec. 19, 2025). This factor also disfavors delegation.

IV. The Pendency of the Texas Action Is Not a Public Interest Concern and Does Not Counsel Against Institution

Zetwerk’s final argument—that this Investigation duplicates the parties’ Texas state court litigation—is not a public interest argument at all. The public interest factors are those enumerated in 19 C.F.R. § 210.8(c)(1)(i)–(v); the pendency of parallel litigation is not among them. Moreover, Section 337 proceedings routinely coexist with parallel litigation; the Commission’s rules require complainants to disclose related proceedings, 19 C.F.R. § 210.12(a)(5), and Congress expressly provided for that coexistence, *see* 28 U.S.C. § 1659. Nor can the Texas state court afford Ayr “complete relief”: only the Commission can issue *in rem* exclusionary relief, enforced by U.S. Customs and Border Protection at the border, against the ongoing importation of the accused products by foreign manufacturers.

Finally, Zetwerk’s charge of forum gamesmanship inverts the record. Zetwerk chose the first forum, suing Ayr in Texas in October 2025; Ayr’s Texas counterclaims are responsive *in the case Zetwerk commenced*. Compl. ¶ 157. Zetwerk has itself pursued this dispute across multiple forums—filing suit against Ayr’s co-founder in India and an application under 28 U.S.C. § 1782 in the District of Delaware, which was denied. Compl. ¶¶ 158–159. A party maintaining proceedings on two continents is in no position to fault Ayr for requesting relief against Zetwerk’s cross-border unfair competition.

V. Conclusion

Zetwerk has raised no legitimate public interest concerns that warrant delegation to the ALJ in this investigation. Public interest should be handled in the normal course.

Dated: August 3, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I, Bruce Davis, hereby certify that on August 3, 2026, copies of the foregoing were served upon the following as indicated:

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